

Doing Business in Canada: Overview

by Denise Nawata, James R Matthews, Michael Korbin, Ryan Neely (McCrea Immigration Law), Alexander D Mitchell, Peter Macpherson, Ronald A. Chin, Rebecca K Cyander, Sean Galloway, Yue Fei and Kurtis Harms, Farris LLP

Country Q&A | Law stated as at 01-Nov-2021 | Canada

A Q&A guide to doing business in Canada.

This Q&A gives an overview of key recent developments affecting doing business in Canada as well as an introduction to the legal system; foreign investment, including restrictions, currency regulations and incentives; and business vehicles and their relevant restrictions and liabilities. The article also summarises the laws regulating employment relationships, including redundancies and mass layoffs, and provides short overviews on competition law; data protection; and product liability and safety. In addition, there are comprehensive summaries on taxation and tax residency; and intellectual property rights over patents, trade marks, registered and unregistered designs.

Doing Business in Canada

Overview

Legal System

Foreign Investment

Business Vehicles

Environment

Employment

- Laws, Contracts and Permits

- Termination and Redundancy

Tax

- Taxes on Employment

- Business Vehicles

- Dividends, Interest and IP Royalties

- Groups, Affiliates And Related Parties

- Customs Duties

- Double Tax Treaties

Competition

Anti-Bribery and Corruption

Intellectual Property

Marketing agreements

E-Commerce

Advertising

Data Protection

Product Liability

Regulatory Authorities

Other Considerations

Contributor profiles

Denise Nawata

James R Matthews

Michael Korbin

Alexander D Mitchell

Ryan Neely

Peter Macpherson

Ronald A Chin

Rebecca K Cynader

Sean Galloway

Yue Fei

Kurtis Harms

Doing Business in Canada

1. What is the general business, economic and cultural climate in your jurisdiction?

Economy

The business and economic environment in Canada has been strong and growing at a pace above that of the other G7 countries since mid-2016.

Dominant Industries

The dominant industries in Canada are the service industry, manufacturing and natural resources. The dominant industries vary across Canada's 13 provinces and territories, for example, the oil and gas sector is the dominant industry in Alberta while the dominant industry in Ontario is manufacturing.

Population and Language

The population in Canada is over 38 million. The official languages in Canada are English and French but there are a multitude of languages used in Canada, in particular due to high rates of immigration.

Business Culture

Business culture in Canada is similar to that in the US and the UK. The practices vary by region and sector, but traditionally Canadian businesses operate Monday to Friday, between 09 00 to 17 00. There are 12 national public holidays in Canada and each province has additional holidays, such as Family Day and a day to celebrate provincial heritage.

Canadian business has traditionally been hierarchical. Respect for punctuality, equality and diversity are values generally governing the business environment.

Overview

2. What are the key recent developments affecting doing business in your jurisdiction?

Key Business and Economic Events

See below.

Political Events

See below.

New Legislation

Positive output growth and a robust labour market are driving higher levels of Canadian consumer and business confidence and supporting wage growth. This positive sentiment and higher earnings are translating into solid growth in household spending and in business investment. Free trade agreements, such as the following, diversify market opportunities, grow trade opportunities and expand Canada's international presence:

- Canada-European Union Comprehensive Economic and Trade Agreement.
- Canada-UK Trade Continuity Agreement.
- Comprehensive and Progressive Agreement for Trans-Pacific Partnership.
- Canada–United States–Mexico Agreement.

Looking ahead, ongoing factors that could affect the economic outlook include the following:

- Global growth and elevated confidence in Canada could continue to boost household spending.
- The Canadian government's COVID-19 relief programmes are contributing to labour market recovery and continued strong consumption.
- The evolution of the COVID-19 pandemic and international market and trade turbulence could weigh on Canadian growth prospects.

Legal System

3. What is the general legal system in your jurisdiction?

Canada is a federation comprised of ten provinces and three territories. Legal authority is divided between the federal and provincial or territorial governments, although jurisdiction overlaps in some areas. The legal system is based on the English common law, except for the province of Québec, which has a civil law system. Québec is governed under the Civil Code of Québec.

Aboriginal rights and treaty rights are recognised and affirmed in Canada by the Constitution Act. Treaty rights are set out in agreements between the government and a particular group of aboriginal peoples. Canada also has a significant body of common law relating to the rights of aboriginal peoples. This includes the government's duty to consult with and, if required, accommodate the interests of aboriginal peoples when it has real or constructive knowledge of the potential existence of an aboriginal or treaty right and is contemplating actions that may adversely affect it. The duty to consult rests solely with the government, but procedural aspects of this duty can be delegated to third parties.

Foreign Investment

4. Are there any restrictions on foreign investment, ownership or control?

Government Authorisations

The Investment Canada Act (RSC 1985) requires foreign investors to notify the Canadian government when they begin a new business activity in Canada and when they acquire control of an existing Canadian business. The following acquisitions are subject to review to ensure that they provide a net benefit to Canada:

- A direct acquisition of control of a Canadian business (by way of shares or assets) if the asset value of the business being acquired equals or exceeds CAD5 million.
- An indirect acquisition of control of a Canadian business (the acquisition of a non-Canadian parent of a Canadian entity) if the asset value of the business being acquired either:
 - equals or exceeds CAD50 million, where the asset value of the Canadian business being acquired is less than 50% of the global transaction's asset value; or
 - equals or exceeds CAD5 million, where the asset value of the Canadian business being acquired exceeds 50% of the global transaction's asset value.

There are higher thresholds for reviewable direct acquisitions by the World Trade Organisation (WTO) investors and trade agreement investors (which include investors from the EU, the US, the United Kingdom, South Korea, Mexico, Chile, Peru, Colombia, Panama, Honduras, Australia, Japan, New Zealand, Singapore and Vietnam). The current threshold for reviewable direct acquisitions by WTO investors is an enterprise value of CAD1.043 billion. The current threshold for reviewable direct acquisitions by trade agreement investors is an enterprise value of CAD1.565 billion. The enterprise value of a publicly traded company equals its market capitalisation, plus its liabilities, minus its cash and cash equivalents. The enterprise value of a privately-held company equals its acquisition value plus its liabilities, minus its cash and cash equivalents.

The threshold levels for reviewable direct acquisitions by WTO investors and by trade agreement investors are subject to annual inflationary indexing.

Restrictions on Foreign Shareholders

The Canadian Government can also review, prohibit or impose conditions on any direct or indirect equity or asset investment by non-Canadians, regardless of the size of the investment, based on whether an investment could be injurious to national security.

Foreign state-owned enterprises that are WTO investors, or foreign state-owned enterprises that are non-WTO investors investing in a Canadian business that is immediately before investment controlled by WTO investors, are subject to a CAD415 million threshold for review based on asset value (subject to annual adjustment). This threshold is annually revised to reflect the change in Canada's nominal gross domestic product.

Guidelines were adopted in 2012 under the Investment Canada Act for the review of investments by foreign state-owned enterprises. Highlights of the guidelines include:

- State-owned enterprises defined as those that are owned, controlled or influenced, directly or indirectly by a foreign government.
- State-owned enterprises will be expected to address in their plans and undertakings that they are susceptible to state influence and will need to demonstrate a strong commitment to transparent and commercial operations.
- The Minister will assess the state-owned enterprise's adherence to free market principles and the effect of the investment on the level and nature of economic activity in Canada.

Particular industry sectors, such as telecommunications, financial services, broadcasting and air transportation, are subject to additional laws that regulate foreign investment.

Restrictions On Acquisition Of Shares

The Investment Canada Act applies to all acquisitions of control by a non-Canadian investor in a Canadian business.

Control is presumed to be acquired, triggering government review requirements, when the majority of the voting interests in an entity that is not a corporation are possessed. With respect to a corporation, the acquisition of one third or more of the voting shares of the corporation is presumed to be an acquisition of control of that corporation, unless it can be established that the corporation is not controlled by the acquirer.

Specific Industries

Specific industry sectors, such as telecommunications, financial services, broadcasting, media, music and air transportation, are subject to additional laws that regulate foreign investment.

5. Are there any restrictions or prohibitions on doing business with certain countries, jurisdictions, entities, organisations or individuals?

Canada has imposed sanctions in relation to the following countries:

- Belarus.
- Central African Republic.
- Democratic Republic of the Congo.

- Iran.
- Iraq.
- Lebanon.
- Libya.
- Mali.
- Myanmar.
- Nicaragua.
- North Korea.
- People's Republic of China.
- Russia.
- Somalia.
- South Sudan.
- Sudan.
- Syria.
- Tunisia (Canada has enacted measures solely pursuant to the *Freezing Assets of Corrupt Foreign Officials Act*).
- Ukraine.
- Venezuela.
- Yemen.
- Zimbabwe.

Up-to-date information on Canadian economic sanctions and the details of those sanctions can be found [here](#).

6. Are there any exchange control or currency regulations or any registration requirements under anti-money laundering laws?

There are no exchange control or currency regulations. Canadian banks and other financial services entities are required to report the following transactions to the Financial Transactions and Reports Analysis Centre of Canada (FINTRAC):

- Incoming or outgoing transfers or cash deposits of CAD10,000 or more.

- Funds suspected of being associated with money laundering or terrorist financing activities,

It is a criminal offence to provide or collect funds to be used by individuals or entities who are known or believed to be associated with terrorist activities. Additionally, Canadian financial institutions must follow client identification and verification procedures.

The Canada Business Corporations Act, as well as various provincial corporate organisational statutes require disclosure and maintenance of a register disclosing the beneficial share ownership of individuals who could exercise significant control over a Canadian company.

7. What grants or incentives are available to investors?

Grants

See [Incentives](#).

Incentives

The federal government provides investment incentives in many areas. Assistance is generally in the form of repayable loans, tax credits, tax rebates and technical and marketing support.

Grant and incentive programmes focus on areas such as the following:

- Aerospace.
- Agriculture.
- Aquaculture.
- Energy.
- Export.
- Film and media.
- Fishing.
- Green technology.
- Job creation.
- Manufacturing and processing.

- Mining.
- Project finance.
- Region specific development.
- Research and development.

Provincial and territorial government incentives are also available.

The federal government also supports business through the Business Development Bank of Canada (BDC) and Export Development Canada (EDC). BDC provides direct and indirect financing, venture capital, growth and business transition capital, and consulting services to entrepreneurs. EDC provides insurance services, financial services, bonding products and other small business services to Canadian exporters and investors and their international buyers.

Two significant federal government incentives are the:

- Scientific Research and Experimental Development (SR&ED) programme. This provides tax credits and/or a reduction of taxes payable on eligible research and development work done in Canada.
- Strategic Innovation Fund (SIF). SIF allocates repayable and non-repayable contributions to large-scale industrial and technology projects seeking over CAD10 million in contributions for projects in excess of CAD20 million.

Foreign Investors

Many of the programmes listed above can be accessed by both domestic and foreign investors. Foreign investors involved in international trade can also benefit from some of Canada's tax and duty exemptions that create a regime somewhat similar to foreign trade zones.

Business Vehicles

8. What are the most common forms of business vehicle used in your jurisdiction?

Main Business Vehicles

The main business vehicles used in Canada are corporations, partnerships, limited partnerships, trusts and joint ventures.

Foreign Companies

The most common form of business vehicle used by foreign companies is the corporation, due to its wide use and the limited liability of shareholders. A corporation can be incorporated federally under the Canada Business Corporations Act or provincially.

The provinces of British Columbia, Alberta, Nova Scotia and Prince Edward Island also permit the formation of an Unlimited Liability Company (ULC) that can offer certain tax advantages for US companies operating in Canada.

9. What are the main formation, registration and reporting requirements for the most common corporate business vehicle used by foreign companies in your jurisdiction?

The following applies to a corporation incorporated under federal laws and may not apply to a corporation incorporated under the laws of a province.

Registration and Formation

The following applies to a corporation incorporated under federal laws and may not apply to a corporation incorporated under the laws of a province.

The corporation's name must be approved by Corporations Canada (the governmental entity that administers corporate laws governing federal companies), which typically takes up to seven business days.

A corporation is formed by electronically filing with Corporations Canada:

- Articles of incorporation.
- An initial registered office address and first board of directors form.
- The requisite fee.

Reporting Requirements

Corporations are required to file:

- Articles.
- Annual returns.
- Notice of any change of address of the registered office.
- Notice of any change in directors.

In addition, there are also provincial registration requirements in each province in which the corporation does business.

Corporations are required to prepare annual financial statements, which are not required to be filed with any regulatory authority.

Corporations that are distributing corporations (generally, public companies) are subject to significant additional rules and reporting requirements.

Share Capital

The articles of incorporation set out the classes of shares and maximum number of shares the corporation is authorised to issue for each class (this is usually unlimited). All shares are without nominal or par value.

Non-Cash Consideration

Consideration for shares can be in the form of money, past services or property transferred to the corporation. If payment is by way of past services or property, it cannot be worth less than the fair equivalent of the money that the corporation would have received had the shares been issued for money.

Rights Attaching to Shares

Restrictions on rights attaching to shares. The right to vote, receive any dividends and receive the assets of the corporation on dissolution or liquidation must be attached to the shares. However, all these rights are not required to be attached to the same class of shares.

Automatic rights attaching to shares. The articles of incorporation specify the rights, privileges, restrictions and conditions for each class of shares, including provisions relating to:

- Voting.
- Dividends.
- Share of assets on liquidation or dissolution.
- Priority on liquidation or dissolution.
- Any rights on conversion, redemption and retraction.

Rights can vary among different classes of shares.

Corporate Records

A corporation must maintain certain corporate records at its registered office or at some other location in Canada chosen by the directors of the corporation.

10. What is the standard management structure and key liability issues for the most common form of corporate business vehicle used by foreign companies in your jurisdiction?

The following applies to a corporation incorporated under federal laws and may not apply to a corporation incorporated under the laws of a province.

Management Structure

The shareholders of a corporation elect a board of directors, which in turn appoints the corporation's officers. The directors' powers and liabilities can be transferred to shareholders by a unanimous shareholder agreement.

Management Restrictions

A director must be at least 18 years of age, of sound mind, an individual and not bankrupt. Provincial legislation may impose additional restrictions on a corporation incorporated under the laws of a province.

At least 25% of a corporation's directors must be Canadian residents (if there are less than four directors at least one director must be a Canadian resident). In addition, corporations operating in certain prescribed industries (for example, airlines) have additional residency restrictions for directors. There is no residency requirement for the corporation's officers.

The provincial corporate laws of Ontario, Alberta, Manitoba, Newfoundland and Labrador, and Saskatchewan also impose a 25% Canadian residency requirement on the composition of the board of directors. There is no residency requirement for directors for a corporation incorporated under the laws of British Columbia, New Brunswick, Nova Scotia, Prince Edward Island, Québec, Nunavut, the Northwest Territories or Yukon.

Directors' and Officers' Liability

Directors and officers are under an obligation to:

- Comply with applicable corporate legislation, the corporation's articles and any unanimous shareholder agreement.
- Exercise their powers diligently and with due care.
- Act honestly and in good faith, with a view to the best interests of the corporation.
- Disclose conflict of interest if the contract or transaction is material to the company.

Directors who breach these duties can be held personally liable for any resulting loss. In addition, directors can be liable for breaches of certain statutory requirements, including unpaid taxes, employee wages and environmental contamination.

Parent Company Liability

Shareholders are not liable for a subsidiary's obligations.

Environment

11. What are the main environmental regulations and considerations that a business must take into account when setting up and doing business in your jurisdiction?

Under Canada's Constitution Act, 1867, legislative powers are divided between federal and provincial jurisdiction, however, no distinct legislative power is granted regarding environmental matters.

Both the federal and provincial governments can legislate on environmental matters, provided that the power to make such laws is within the scope of the Constitution Act, 1867 and that any legislation does not conflict with it.

The federal environmental powers are based on both the:

- Federal authority over:
 - sea coast and inland fisheries;
 - navigation and shipping;
 - federally owned public property;
 - criminal law;
 - lands and matters relating to indigenous persons;
 - boundary waters;
 - migratory birds.
- General power to make laws for the peace, order and good government of Canada.

Provincial environmental powers are based on their legislative powers over:

- Property and civil rights in the province.

- Management of Crown lands, municipal institutions and generally all matters of a merely local or private nature in the province.

Federal environmental legislation may typically involve an international or inter-provincial aspect while provincial legislation focuses on property and local matters in the province. Either level of government can agree to coordinate or delegate to the other certain administrative processes such as environmental assessments.

Federal environmental statutes include the:

- **Canadian Environmental Protection Act, 1999.** This Act is the principal federal statute aimed at pollution prevention and the protection of the environment and human health, with regulations governing the:
 - discharge of effluent and emissions from mines, pulp and paper mills, smelters, power generation plants and other industrial operations;
 - import, export, storage and transportation of hazardous substances;
 - use or composition of toxic and controlled substances, including fuels and ozone-depleting substances;
 - vehicle emissions and disposal at sea.
- **Fisheries Act.** This Act plays a key role in protecting water bodies from harmful discharges. Regulations under the Fisheries Act also govern discharges of effluent from industrial operations.
- **Canada Shipping Act, 2001.** This Act and its regulations include provisions for preventing pollution from vessels and emergency responses for incidents such as oil spills at sea.
- **Navigable Waters Protection Act.** This Act includes provisions governing the construction of works in navigable waters.
- **Transportation of Dangerous Goods Act, 1992.** This Act and its regulations set out safety standards and packaging, labelling and shipping requirements for the inter-provincial or international transportation of goods that may pose a risk to the public or the environment.
- **Impact Assessment Act.** This Act establishes a system for the review of major projects having a federal aspect or requiring a federal approval and their environmental effects. This Act can operate concurrently with equivalent provincial legislation and the federal government has entered into co-operation agreements with the provinces to streamline the assessment process.
- **Canada Water Act, International River Improvements Act, International Boundary Waters Treaty Act and Arctic Waters Pollution Prevention Act.** These Acts include provisions for the protection and management of water resources having an international or inter-provincial aspect.
- **Species at Risk Act, Migratory Birds Convention Act, Wild Animal and Plant Protection and Regulation of International and Interprovincial Trade Act and Canada Wildlife Act.** These Acts provide for the protection of endangered wildlife, birds and plants.
- Provincial environmental statutes typically include legislation for pollution prevention, including contaminated sites, environmental assessment, and the management and protection of resources in the province, such as water, forests, fish, minerals and oil and gas.

Pollution prevention. Provincial legislation on pollution prevention includes the following:

- Environmental Management Act (EMA) (British Columbia).
- Environmental Protection and Enhancement Act (Alberta).
- Environmental Management and Enhancement Act (Saskatchewan).
- Environment Act (Manitoba).
- Environmental Protection Act (Ontario).
- Environment Quality Act (Québec).
- Clean Environment Act and Clean Air Act (New Brunswick).
- Environmental Protection Act (Prince Edward Island).
- Environment Act (Nova Scotia).
- Environmental Protection Act (Newfoundland and Labrador).

Environmental assessment. Environmental assessment laws include the EMA (British Columbia) and the Environmental Assessment Acts of Ontario and Saskatchewan. The other provinces provide for environmental assessment under their principal legislation and related regulations.

Transport of Dangerous Goods. In British Columbia, the Transport of Dangerous Goods Act sets out safety standards and packaging, labelling and shipping requirements for the transportation of dangerous goods within the province. Other provincial legislation dealing with the transport of dangerous goods are the:

- Dangerous Goods Transportation and Handling Act (Alberta).
- Dangerous Goods Transportation Act (Saskatchewan).
- Dangerous Goods Handling and Transportation Act (Manitoba).
- Dangerous Goods Transportation Act (Ontario).
- Highway Safety Code (Québec).
- Transportation of Dangerous Goods Act (New Brunswick).
- Dangerous Goods (Transportation) Act (Prince Edward Island).
- Dangerous Goods Transportation Act (Nova Scotia).
- Dangerous Goods Transportation Act (Newfoundland and Labrador).

Resource Management and Protection. Legislation includes the:

- Water Sustainability Act, Water Protection Act and Drinking Water Protection Act; Fish Protection Act, Mines Act, Petroleum and Natural Gas Act and Oil and Gas Activities Act; Wildlife Act (British Columbia).
- Clean Water Act, Ontario Water Resources Act and Safe Drinking Water Act; Endangered Species Act (Ontario).

- Mines and Minerals Act, Coal Conservation Act, Gas Resources Preservation Act, Oil and Gas Conservation Act, Oil Sands Conservation Act, Pipeline Act and Water Act (Alberta).
- Natural Resources Act, Forest Resources Management Act, Fisheries Act and Wildlife Act and Manitoba has enacted a Water Protection Act (Saskatchewan).
- Natural Heritage Conservation Act and Water Resources Preservation Act (Québec).
- Other Atlantic provinces have enacted legislation to protect water resources, such as New Brunswick's Clean Water Act, Prince Edward Island's Water Act, Nova Scotia's Water Resources Protections Act and Newfoundland and Labrador's Water Resources Act.

Employment

Laws, Contracts and Permits

12. What are the main laws regulating employment relationships?

Foreign Employees

Foreign employees may be subject to local or foreign employment laws depending on the circumstances.

Employees Working Abroad

Employees working abroad may be subject to local or foreign employment laws depending on the circumstances.

Mandatory Rules of Law

Employment relationships are principally regulated by the common law and by provincial employment and labour legislation (except for certain federally regulated industries, such as banking, that are governed by federal employment and labour legislation).

Provincial and federal employment standards legislation set out the minimum standards that apply to the employment relationship, including with respect to:

- Minimum wages.

- Overtime.
- Hours of work.
- Statutory holidays and annual vacation.
- Maternity, parental and other leaves.
- Notice of termination of employment and severance.
- Group termination.

The employment relationship is also regulated by provincial and federal legislation relating to human rights, workers' compensation, privacy rights and personal information.

Unionised workplaces are also regulated by federal or provincial labour relations legislation that provides for collective bargaining rights.

13. Is a written contract of employment required

A written employment contract is not usually required but is often recommended. The parties to a written employment contract can agree on various terms and conditions (provided they comply with applicable employment standards legislation and other applicable laws), including the amount of notice or pay in lieu of notice an employee receives on termination without cause, and this will generally be enforceable provided the contractual amount meets or exceeds what is required by employment standards regulation.

Typical terms of an employment agreement include:

- Position, duties, service provisions.
- Compensation and benefit provisions.
- Probationary period provision.
- Termination provisions.
- Restrictive covenants:
 - confidentiality clause;
 - non-solicitation clause;
 - non-competition clause;
 - IP ownership provisions.

Main Terms

See above.

Implied Terms

Where there is no written employment contract, the terms of the employment contract are generally implied into the employment relationship, including the requirement for an employer to provide reasonable notice of termination without cause.

Collective Agreements

A collective agreement generally applies to employees who are represented by a trade union in accordance with applicable labour legislation.

14. Do foreign employees require work permits and/or residency permits?

Work Permits

See below.

Residency Permits

Foreign nationals require a work permit to work temporarily in Canada. Before a work permit is issued, the Canadian employer or foreign service provider must generally first obtain a confirmation of the job offer in favour of the foreign worker from a federal agency, which must conclude that no Canadian or permanent resident is available for the job at the stated wage and experience level (that is, a Labour Market Impact Assessment (LMIA)). The LMIA application can take several weeks or months and requires the position to be advertised publicly. Recently the LMIA programme has been separated into sub-streams which means that, depending on the employment position, the level of remuneration and the industry, LMIA applications can now be fast-tracked in as little as two weeks.

There are a number of exemptions to the LMIA requirement. Work permits in this category are grouped in the International Mobility Program (IMP) and some examples include:

- Certain intra-company transferees.
- Certain youth working/holiday applicants.

- French-speaking applicants for jobs outside of Québec.
- Certain qualified individuals who are citizens of countries with which Canada has signed a bilateral agreement (such as the North America Free Trade Agreement (NAFTA), the Canada Chile Free Trade Agreement (CCFTA) and so on).

Canadian companies hiring foreign nationals on IMP-based work permits must first complete an online employer compliance filing that provides the government with critical information on the position, the terms of employment, salary and applicable benefits in addition to other information. This information is retained by the government and the employer is subject to audit/verification of this information for up to six years.

Depending on the applicant's citizenship, a temporary resident visa (TRV) can also be required to travel to Canada. If the foreign national is a citizen of a country that does not require a TRV, applications for work permits can be made in person at a Canadian port of entry (land, air or sea) on arrival. Otherwise, a foreign national must apply for both their work permit and a TRV through a foreign visa office. Depending on the visa office the individual is required to use, processing times range from two weeks to six months.

Foreign nationals travelling from countries that do not require a TRV to enter Canada must obtain an electronic travel authorisation (ETA) before boarding a Canada-bound flight. An ETA is valid for five years. The application is straightforward and completed online.

The requirement to provide biometrics (application photo and fingerprints digitally collection from a secure collection point) now applies to all foreign nationals. Where and when a person is required to provide biometrics depends on whether they require an ETA or TRV to travel to Canada. Regardless of where an applicant is physically located at the time they are requested, biometrics can be provided across the entire Visa Application Centre network.

In addition to the above, in response to the COVID-19 pandemic, the Canadian Government has also imposed a number of travel restrictions. The travel restrictions for foreign nationals entering from the US are less restrictive than for those entering Canada from elsewhere.

Termination and Redundancy

15. Are employees entitled to management representation and/or to be consulted in relation to corporate transactions (such as changes in control, redundancies and disposals)?

Employees are not entitled to management representation or to be consulted in relation to corporate transactions, with the exception of unionised workplaces where this is expressly provided for in a collective agreement or labour legislation.

16. How is the termination of an individual's employment regulated?

Termination

Employees in Canada cannot have their employment terminated at will. Termination of non-union employment relationships is generally regulated by applicable employment standards legislation and the common law unless there are valid termination provisions in the employee's employment contract (it may also be regulated by other applicable laws, such as human rights legislation).

Termination of unionised employment relationships is generally regulated by the collective agreement and applicable labour legislation.

Fair Dismissal

In Canada the general distinction is between a termination without just cause and for just cause.

If an employee is dismissed for just cause, the employer does not need to provide them with notice or pay in lieu of notice under statute or common law. Ultimately, whether just cause exists is for a judge or adjudicator to decide. However, just cause has often been found where an employee had engaged in material misconduct that fundamentally breaches the employment relationship, such as:

- Theft.
- Dishonesty.
- Assault.
- Harassment.
- Fraud.
- Refusal to follow a valid work directive.

Continued incompetence or neglect of duty (after specific warnings that are reasonable and clear that termination will result if the behaviour continues).

Statutory minimum notice. In a termination for just cause, no statutory notice is owing provided the termination meets any statutory definition for just cause under applicable employment standards legislation.

Severance payment. Provided there is just cause for the employee's termination, no severance is owing.

Unfair Dismissal

If an employee is dismissed without just cause (such as when a position is no longer necessary or a business slowdown occurs), the employer must provide a period of notice (or pay in lieu of notice) that complies with:

- The applicable federal or provincial employment standards legislation (which may vary from province to province). Certain occupations can be excluded from statutory termination notice and pay requirements by provincial or federal statutes, but not at common law.
- Common law (unless there is a valid termination clause in an employment contract).
- A written employment contract can provide for a different notice period or pay in lieu of notice on termination, provided the minimum statutory entitlement is met.

Grounds for unfair dismissal. See above.

Remedies. If an employee is terminated without just cause and without lawful advance notice, non-union employees are generally entitled to pay in lieu of notice of termination. Certain non-union employees under federal employment standards legislation may be entitled to reinstatement.

If an employer has acted in bad faith in terminating employment, the employee may be entitled to additional damages. Unionised employees have stronger protection against unjust dismissal as such employees can only have their employment terminated for just cause (although they may be subject to layoff for economic reasons).

Class of Individuals

In Canada applicable human rights legislation provides protection for employees with certain personal characteristics from being discriminated against (including having their employment terminated) for reasons related to such personal characteristics. An employer is exposed to liability for breach of human rights legislation.

17. Are redundancies and mass termination regulated?

Redundancies and Mass Termination

Both provincial and federal legislation regulate mass terminations and redundancies. The legislation may require additional termination notice and pay required for employees in mass terminations.

Procedural Requirements

Mass terminations are often defined as the termination of 50 or more employees during a prescribed period of time. These statutory provisions vary depending on the applicable employment standards legislation.

Tax

Taxes on Employment

18. In what circumstances is an employee taxed in your jurisdiction?

Tax residence

See below.

Other Methods To Determine Residency

See below.

Employees can be taxed in Canada if they are resident in Canada or if they earn employment income in Canada.

For tax purposes, residence is determined by either:

- An individual's connection to Canada (including financial, residential, personal and social ties).
- Being deemed resident for tax purposes if they reside in Canada for more than 183 days in a tax year.

An individual is considered a resident of the Canadian province where that individual resided on 31 December of that particular tax year.

An individual is considered to earn employment income in Canada if they receive an amount derived from employment (such as salary, employment benefits, or director's fees) that relates to services performed in Canada (even for a non-resident employer). A non-resident individual who earns employment income in Canada may be entitled to an exemption available under the relevant tax treaty.

19. What income tax, social security and other tax or contributions must be paid by the employee and the employer during the employment relationship?

Tax Resident Employees

An individual who is a resident in Canada (see [Question 18](#)) during a tax year is subject to the following taxes on their worldwide income from all sources:

- **Federal income tax.** Federal income tax rates in 2021 are:
 - 15% on taxable income of over CAD13,808 to CAD49,020;
 - 20.5% on taxable income of over CAD49,020 to CAD98,040;
 - 26% on taxable income of over CAD98,040 to CAD151,978;
 - 29.22% on taxable income of over CAD151,978 to CAD216,511; and
 - 33% on taxable income over CAD216,511.
- **Provincial income tax.** Provincial income tax rates and tax brackets vary by province. The combined federal and provincial top marginal tax rates, including any surtaxes, of the four largest provinces for 2021 are as follows:
 - **British Columbia.** 49.80% on taxable income of over CAD216,511 to CAD222,420 and 53.50% on taxable income of over CAD222,420;
 - **Alberta.** 47.00% on taxable income of over CAD216,511 to CAD314,928 and 48.00% on taxable income of over CAD314,928;
 - **Ontario.** 51.97% on taxable income of over CAD216,511 to CAD220,000 and 53.53% on taxable income of over CAD220,000;
 - **Québec.** 53.31% on taxable income over CAD216,511.
- **Canada Pension Plan and Québec Pension Plan.** For 2020, the employee contribution rate is 5.45% of salary earned in the year (5.90% for the Québec Pension Plan), over CAD3,500 to CAD61,600.
- **Employment insurance.** For 2020, the employee contribution rate is 1.58% of salary earned in the year, up to CAD56,300.

Non-Tax Resident Employees

A non-resident individual employed in Canada is liable to pay Canadian federal and provincial income tax on their employment income (see [Question 18](#)). The rate and extent of taxation is equal to that for resident employees, except to the extent that they can be reduced by a tax treaty.

Employers

An employer is generally required to deduct, withhold and remit in respect of its employees in Canada:

- Federal and provincial income tax on employment income.
- Employee and employer pension plan and employment insurance premiums.

Employer contributions for 2021 are:

- **Canadian pension plan.** equal to applicable employee contributions.
- **Employment insurance.** calculated as 2.212% of salary earned in the year, up to CAD56,300.

Business Vehicles

20. When is a business vehicle subject to tax in your jurisdiction?

Tax Resident Business

A corporation will generally be considered resident in Canada for tax purposes if either:

- It was incorporated in or changes its governing legislation to a jurisdiction in Canada.
- Its central management is situated in Canada.

An applicable tax treaty will also be considered when determining residency.

Non-Tax Resident Business

A non-resident corporation is liable to pay tax on taxable income from carrying on business (including trading) in Canada and from the disposition of taxable Canadian property at the same rate as a tax resident corporation (subject to any applicable tax treaty).

21. What are the main taxes that potentially apply to a business vehicle subject to tax in your jurisdiction?

Income Tax

A corporation resident in Canada must pay federal and provincial income tax on its worldwide income (income includes 50% of capital gains). The general federal income tax rate for 2021 is 15% on active business income. Provincial income tax rates vary by province. The combined federal and provincial general tax rates on active business income earned by a corporation in the four largest provinces for 2021 are:

- British Columbia: 27%.
- Alberta: 23%.
- Ontario: 26.5%.
- Québec: 26.5%.

Excise Tax

Excise tax is levied in the form of a single federally administered harmonised sales tax (HST) in Ontario, Nova Scotia, New Brunswick, Newfoundland and Prince Edward Island.

Excise tax is levied in the form of a federal goods and services tax (GST) of 5% and provincial sales taxes (PST) of various amounts in British Columbia, Québec (QST), Saskatchewan and Manitoba. Alberta has no PST and the territories of Yukon, Northwest Territories and Nunavut have no territorial sales tax, so only GST applies in those jurisdictions.

GST and HST registrants that are exclusively engaged in commercial activities are generally entitled to recover GST or HST payable on input costs.

Excise tax rates for the four largest provinces in 2021 are as follows:

- British Columbia: GST is payable at 5% and PST is payable at 7%.
- Alberta: GST is payable at 5% and no PST is payable.
- Ontario: HST is payable at 13%.
- Québec: GST is payable at 5% and PST is payable at 9.975%.

Dividends, Interest and IP Royalties

22. How are the following taxed:

- Dividends paid to foreign corporate shareholders?
- Dividends received from foreign companies?
- Interest paid to foreign corporate shareholders?
- Intellectual property (IP) royalties paid to foreign corporate shareholders?

Dividends Paid

Dividends paid to non-resident shareholder are generally subject to a 25% non-resident withholding tax. Applicable tax treaties generally reduce this to between 5% and 15%.

Dividends Received

An individual or corporation resident in Canada must include in taxable income dividends received from a foreign corporation (see [Question 19](#)). In certain circumstances, a corporation resident in Canada can deduct dividends received from and paid out of a foreign affiliate's active business income.

Interest Paid

Interest paid to arm's-length parties that is not participating debt interest is not subject to withholding tax. A 25% withholding tax applies to any payment to non-arm's-length parties or on any participating debt interest. Applicable tax treaties generally reduce this to between 0% and 15%.

IP Royalties Paid

These are generally subject to non-resident withholding tax at 25% (subject to any reduction under an applicable Canadian tax treaty).

Groups, Affiliates And Related Parties

23. Are there any thin capitalisation rules (restrictions on loans from foreign affiliates)?

Thin capitalisation rules restrict the deductibility of interest payable on debt to certain non-residents in excess of a 1.5:1 debt to qualifying equity ratio, including debt relating to certain consolidated financing arrangements with foreign taxpayers.

24. Must the profits of a foreign subsidiary be imputed to a parent company that is tax resident in your jurisdiction (controlled foreign company rules)?

Foreign affiliate rules require a Canadian resident corporation to include in its income a participating percentage of certain passive foreign income (foreign accrual property income (FAPI)) of controlled foreign affiliates, regardless of whether the FAPI has been distributed. Corresponding deductions are generally available for foreign tax paid by such an affiliate on the FAPI.

Income can also be imputed to a Canadian resident from investment in a foreign investment entity or fund.

Active business income of a foreign affiliate is generally exempt from Canada's foreign affiliate rules.

25. Are there any transfer pricing rules?

Where a taxpayer and a non-arm's-length, non-resident person enter into one or more transactions, the transfer pricing rules generally provide that:

- If the consideration paid in the transaction is not an arm's-length amount, the consideration paid is deemed to be the arm's-length amount.
- If the transaction is not one which would have been entered into had the parties been at arm's length (and it can reasonably be considered that the transaction was not entered into other than to obtain a tax benefit), the nature of the transaction entered into is deemed to be that which would have been entered into had the parties been at arm's length.
- Canada is a member of the OECD, and is participating in the OECD's proposed international tax reforms.

Customs Duties

26. How are imports and exports taxed?

Importers are generally subject to Canadian excise tax and duty on goods imported into Canada (see [Question 19](#)). Exporters are not generally subject to Canadian excise tax or duty on goods exported from Canada. The rate of duty depends on the type of goods imported.

Free trade agreements are currently in force between Canada and the EU (Canada-European Union Comprehensive Economic and Trade Agreement), Canada and the US and Mexico (Canada-United States-Mexico Agreement), Canada and the European Free Trade Association (Iceland, Liechtenstein, Norway and Switzerland; Canada-European Free Trade Association Free Trade Agreement), Canada and Australia, Japan, Mexico, New Zealand, Singapore and Vietnam (Comprehensive and Progressive Agreement for Trans-Pacific Partnership) and between Canada and South Korea, Chile, Israel, Costa Rica, Panama, Peru, Colombia, Jordan, Honduras and the Ukraine.

The application of excise tax will generally depend on the applicable provincial excise tax regime (see [Question 19](#)). Goods imported for consumption, use or supply in the course of commercial activities are generally entitled to recover GST or HST payable on input costs.

Double Tax Treaties

27. Is there a wide network of double tax treaties?

Canada is a party to over 90 tax treaties, including treaties with the US, UK, Australia, China and France.

Competition

28. Are restrictive agreements and practices regulated by competition law? Is unilateral (or single-firm) conduct regulated by competition law?

Competition Authority

Competition is regulated in Canada by the Competition Bureau. Guidance on competition law in Canada can be found on the [Competition Bureau's website](#).

Restrictive Agreements And Practices

The Federal Competition Act (*RSC1985*) (Competition Act) is aimed at maintaining and encouraging competition in Canada by preventing corporations and individuals from engaging in anti-competitive conduct. The Competition Act applies to all entities, both domestic and foreign, doing business in Canada.

The act focuses on two types of practices:

- **Civil matters.** These are subject to review by the Competition Tribunal (the governmental entity that hears and decides all applications filed under the Competition Act and any related matters) and includes:
 - price maintenance;
 - tied selling;
 - refusal to deal;
 - exclusive dealing;
 - market restriction;
 - delivered pricing;
 - certain misleading marketing practices; and
 - agreements among competitors that substantially prevent or lessen competition.
- **Criminal matters.** These are subject to prosecution in Canadian courts and include:
 - bid-rigging;
 - conspiracies to fix prices, allocate markets or control production of a product;
 - multi-level marketing; and
 - certain misleading advertising and telemarketing practices.

Civil matters are subject to remedial orders and administrative monetary penalties, whereas criminal matters are punishable by fines and/or imprisonment.

The Competition Act is a federal law. Competition is generally not regulated by provincial or local laws.

Unilateral Conduct

The Competition Act prohibits abuse of a dominant position if the Competition Tribunal finds all of the following:

- A person substantially or completely controls, throughout Canada or any area of it, a class or type of business.
- That person engages or has engaged in a practice of anti-competitive acts.
- That practice has or is likely to have the effect of preventing or lessening competition substantially in a market.

In the case of a finding of abuse of a dominant position, the Competition Tribunal can make an order for any of the following:

- Prohibition of the practice.
- Divestiture of assets.
- The imposition of a penalty of up to CAD10 million for a first infraction and up to CAD15 million for subsequent infractions.

29. Are mergers and acquisitions subject to merger control?

Transactions Subject To Merger Control

The Competition Act applies to mergers, acquisitions, proposed mergers and proposed acquisitions. If the Competition Tribunal finds that a merger or acquisition prevents or lessens competition substantially in a trade, industry or profession, the Competition Tribunal can make an order, such as to dissolve or prohibit the merger or acquisition. All mergers and acquisitions of a significant part of a business are subject to investigation by the Commissioner of Competition and possible referral to the Competition Tribunal within one year of their substantial completion.

Asset acquisitions, share acquisitions, amalgamations, the formation of unincorporated combinations to carry on business and acquisitions of an interest in unincorporated business combinations are all subject to merger control policies.

The substantive test for intervention to be applied by the Competition Bureau, and which must be satisfied for the Competition Tribunal to issue a remedial order, is whether the transaction is likely to substantially prevent or lessen competition in a relevant market.

Turnover tests of combined assets of market share tests do not apply.

The parties to a merger or acquisition are subject to pre-completion notification rules that require the filing of prescribed information and the undertaking of a waiting period (generally 30 days) before completing the transaction if all of the following apply

- The transaction involves the direct or indirect acquisition of a Canadian operating business.
- The parties together have CAD400 million in Canadian assets or have sales in, from or into Canada exceeding CAD400 million.
- The aggregate value of assets of the Canadian operating business being acquired, or the gross revenues from sales in or from Canada generated from those assets, exceeds CAD93 million (as at the end of February 2021).

The acquisition of shares require the filing of prescribed information if all of the following applies:

- The transaction involves the direct or indirect acquisition of a Canadian operating business.
- The parties together have CAD400 million in Canadian assets or have sales in, from or into Canada exceeding CAD400 million.
- The aggregate value of assets of the Canadian operating business being acquired, or the gross revenues from sales in or from Canada generated from those assets, exceeds CAD93 million (as at the end of February 2021).
- The acquisition results in the acquiring party or parties holding voting shares that, in aggregate, carry more than the following percentages of the votes attaching to all outstanding voting shares of the corporation:
 - 20%, if any of the corporation's voting shares are publicly traded;
 - 35%, if none of the corporation's voting shares are publicly traded; or
 - 50%, if the acquiring party or parties already own more than the percentages set out above before the proposed acquisition.

Foreign-to-Foreign Acquisitions

Foreign-to-foreign mergers and acquisitions are subject to merger control laws, including the pre-completion notification rules, if the transaction involves the direct or indirect acquisition of a Canadian operating business. There are exemptions from the pre-completion notification rules, such as exemptions for certain types of transactions, but none of the exemptions specifically pertain to foreign-to-foreign mergers and acquisitions. The Investment Canada Act may also apply where a transaction involves the foreign acquisition of a Canadian business.

Specific Industries

The specific environment of an industry may inform the assessment of whether a merger or acquisition impacts competition or innovation. However, the Competition Act applies broadly across all industries. Industries such as transportation, finance and broadcasting have separate, additional regulatory regimes.

Anti-Bribery and Corruption

30. Are there any anti-bribery or corruption regulations affecting business in your jurisdiction?

The Criminal Code (RSC 1985) and the Corruption of Foreign Public Officials Act (SC 1998) (CFPOA) are the two primary pieces of legislation governing corruption and bribery in Canada. The Criminal Code prohibits domestic bribery and corruption and the CFPOA prohibits bribery of foreign public officials.

Intellectual Property

31. What are the main IP rights that are recognised in your jurisdiction?

Patents

Definition and legal requirements. Statutory rights are created by the Patent Act (RSC 1985). Subject matter that is patentable in Canada is generally the same as what is patentable in most other jurisdictions with patent schemes. To patent an invention, it must be all of the following:

- Novel.
- Have a useful function.
- Demonstrate inventive ingenuity and not be obvious to someone skilled in that area.

Registration. A patent application must be filed with the Canadian Intellectual Property Office (CIPO) for an invention to be protected. Public disclosure of an invention before filing may prevent issuance of a patent.

Enforcement and remedies. The rights holder can sue for infringement under the Patent Act, which provides that the court can make orders for an injunction and/or the recovery of damages or profits.

Length of protection. An issued patent lasts for 20 years from the filing date, provided the requisite maintenance fees are paid. In rare circumstances, patent rights can be extended by an act of Parliament but are not otherwise renewable.

Trade Marks

Definition and legal requirements. Word, logo, sound, colour or other device that serves as a distinctive indicator of the source of particular goods or services can be protected as trade marks. In Canada, trade marks do not need to be registered to be protected, common law rights accrue in a trade mark with use of the trade mark in association with goods or services.

Protection. Under the common law action for passing off, a trade mark holder can prevent the subsequent use of the same or a confusingly similar trade mark for similar goods and/or services. However, without registration, protection is limited to the geographic area in which the holder has developed a reputation for the trade mark. Only registration under the Trademarks Act (RSC 1985) with CIPO gives the holder full legal protection across Canada. Registration also allows the holder to bring passing off and infringement action under the Trademarks Act in any court of competent jurisdiction to protect the distinctiveness of and prevent depreciation of goodwill in the trade mark.

Enforcement and remedies. The rights holder can sue under common law and/or the Trademarks Act, the latter of which provides that the court can make orders for relief by way of injunction and/or the recovery of damages or profits.

Length of protection and renewability. A trade mark registration is valid for ten years, but can be renewed indefinitely at ten year intervals, provided there is ongoing use of the trade mark.

Registered Designs

Definition. An industrial design protects visual features such as shape, configuration, pattern or ornament, or any combination of these features, applied to a finished article. To qualify for protection, an industrial design must be original and not have been published in Canada or elsewhere more than one year before the filing date.

Registration. Protection is through registration under the Industrial Design Act (RSC 1985) with CIPO, which examines applications on a first-to-file basis.

Enforcement and remedies. The rights holder can sue for infringement under the Industrial Design Act, which provides that the court can make orders for relief by way of injunction and/or the recovery of damages or profits.

Length of protection and renewability. The term of protection of a registered design begins on the date of registration and ends the later of ten years from the registration date and fifteen years from the filing date, provided the requisite maintenance fees are paid. A registered industrial design cannot be renewed.

Unregistered designs

Not applicable.

Copyright

Definition and legal requirements. Literary works, artistic works, dramatic works and musical works are all protected by copyright law. Copyright does not exist in ideas themselves, but only in the original, fixed expression of ideas.

Protection. Copyright automatically subsists in a work in Canada on the creation of an original work (whether or not the work was published), if at the time the work was created, the author was one of the following:

- A Canadian citizen.
- A citizen of a country that is a member of an international agreement for the protection of copyright to which Canada is a party.

Although registration of copyright is not necessary, it is recommended. A registration application must be filed with the CIPPO.

Copyright law provides the copyright owner with certain exclusive rights, including the right to produce, reproduce, perform or publish a work. In addition, copyright law provides for moral rights that are specific to the author of a work. Moral rights include the right to the integrity of the work and the right to be associated with the work as its author. Moral rights cannot be assigned and can only be waived by the author.

Enforcement and remedies. Copyright can be enforced by the copyright holder through common law remedies and/or remedies under the Copyright Act (RSC 1985), such as injunctive or monetary relief.

Length of protection and renewability. In most works, copyright subsists for the life of the author, the remainder of the calendar year in which the author dies, plus 50 years following the end of that calendar year. If the author is unknown, the term of copyright will expire the earlier of 50 years after the end of the year the work was first published, and 75 years after the year in which the work was made. A copyright cannot be renewed.

Other

Other areas of intellectual property rights include trade secret, which is protected by the common law, integrated circuit topographies, which can be registered under the Integrated Circuit Topography Act (SC 1990), and plant breeders' rights, which can be registered under the Plant Breeders' Rights Act (SC 1990).

Marketing agreements

32. Are marketing agreements regulated?

Agency

Agency agreements are not regulated.

Distribution

Distribution agreements are not regulated.

Franchising

Canada does not have federal franchise legislation. However, British Columbia, Ontario, Alberta, Manitoba, Prince Edward Island and New Brunswick have provincial franchise regulations. The rights of franchisees and the obligations imposed on franchisors under the franchise legislation in these provinces are very similar, with the general aim being to impose disclosure obligations, regulate the marketplace and to protect both prospective franchisees and those already party to a franchise relationship.

E-Commerce

33. Are there any laws regulating e-commerce?

E-commerce is regulated by both federal and provincial legislation, such as the:

- Federal Personal Information Protection and Electronic Documents Act SC 2000.
- British Columbia Electronic Transactions Act, SBC 2001.
- Ontario Electronic Commerce Act, SO 2000.

Under both federal and provincial legislation, most types of electronic signatures and documents, including contracts, are recognised as having the same legal force as their non-electronic counterparts. Some provinces have consumer protection laws that apply to internet sales and distance selling. The Competition Act governs business conduct in Canada (see [Question 28](#)) and applies equally to online and offline business.

34. Are online platforms regulated in relation to their use for marketing/sales purposes?

Online platforms are not currently regulated in Canada. In September 2020, the government proposed Bill C-10, An Act to Reform the Broadcasting Act due to "broadcasting" over the internet. The Bill is now in its second reading and it is Canada's first proposed legislation for regulating the activities of online content platforms.

Competition Law in Canada is currently applied in relation to online platforms. Companies that engage in boosting their own ratings or lowering the ratings of their competition, or directing employees to rate their product, for example, are considered to be misleading actions by the Competition Bureau under the Competition Act.

Advertising

35. How is advertising regulated in your jurisdiction?

Digital Advertising

See below.

Direct Marketing

The Competition Act contains criminal and numerous civil provisions that regulate advertising, including provisions prohibiting false or misleading advertising (see [Question 26](#)) and disclosure of material connections. The provisions contained in the Competition Act apply to anyone who is promoting a product, service of any business interest, including influencers promoting products or brands online and promotional contests. Businesses share a responsibility with influencers when they post advertisements on social media.

Canada's Anti-Spam Law (*SC 2010*) prohibits the sending of commercial electronic messages unless the recipient has consented to receiving the message, and imposes requirements on the content of commercial electronic messages, such as:

- Identifying the sender and providing the sender's contact information.
- Providing a mechanism to unsubscribe from receiving further commercial electronic messages.

Canada's Anti-Spam Law also contains provisions relating to the unsolicited installation of computer programs or software. Compliance is currently enforced by the:

- Canadian Radio-television and Telecommunications Commission, which issues administrative monetary penalties for violations of the Anti-Spam Law.
- Competition Bureau, which seeks administrative monetary penalties or criminal sanctions under the Competition Act.

- Office of the Privacy Commissioner, which exercise powers under the Personal Information Protection and Electronic Documents Act.

Other federal statutes that regulate specific aspects of advertising, either in respect of certain types of products (such as food and drugs) or certain activities (such as telemarketing), include:

- Food and Drugs Act (RSC 1985).
- Consumer Packaging and Labelling Act (RSC 1985).
- Tobacco and Vaping Products Act (SC 1997).
- Cannabis Act (SC 2018).
- Precious Metals Marketing Act (RSC 1985).
- Textile Labelling Act (RSC 1985).
- Broadcasting Act (SC 1991).
- Telecommunications Act (SC 1993).

Additionally, there are provincial statutes regulating advertising.

Canada also has a national not-for-profit self-regulatory body for the advertising industry, Ad Standards. The organisation published the Canadian Code of Advertising Standards and administers consumer complaints about Canadian advertising in certain circumstances.

36. How are sales promotions regulated in your jurisdiction?

The Competition Act requires certain disclosures to be made when conducting any contest or otherwise disposing of any product or other benefit, such as the odds of winning and price values. The province of Québec also has specific laws with regards to contests.

In addition, the general misleading advertising provisions of the Completion Act apply to sales promotions, such as contests. Privacy law, anti-spam law, intellectual property law and social medial platforms' terms of use can also apply depending on the nature of the promotion.

Data Protection

37. Are there specific data protection laws? If not, are there laws providing equivalent protection?

Data Protection Laws

The collection, use and disclosure of personal information is regulated by federal and provincial legislation. The federal Personal Information Protection and Electronic Documents Act (SC 2000) (PIPEDA) applies to the collection, use and disclosure of personal information in the course of commercial activities by:

- Federally regulated private sector organisations (for example, in the transportation, communications, broadcasting, federal banking and offshore sectors).
- Provincially regulated private sector organisations in provinces that have not enacted data protection laws substantially similar to the federal legislation.
- Provincially regulated private sector organisations across provincial and international borders.
- The federal Privacy Act (RSC 1985) governs the collection, use and disclosure of personal information by federally regulated public bodies, including federal departments, agencies and Crown corporations. The federal Access to Information Act (RSC 1985) gives individuals a right of access to personal information being held by those public bodies.

All provinces and territories have adopted legislation governing the collection, use and disclosure of personal information by provincially regulated public bodies and providing individuals with a right of access to such information. British Columbia, Alberta and Québec have adopted legislation governing private sector organisations that is similar to PIPEDA. Consequently, PIPEDA does not apply to the collection, use and disclosure of personal information by private sector organisations within those provinces. Finally, there is also federal and provincial legislation that is sector-specific, including legislation in a number of provinces regulating the collection, use and disclosure of personal health information.

Consumer Privacy Laws

See above.

Product Liability

38. How is product liability and product safety regulated?

Product safety falls within both federal and provincial jurisdictions, with a variety of legislation regulating a wide range of products, such as the:

- Canada Consumer Product Safety Act (SC 2010).
- Radiation Emitting Devices Act (RSC 1985).
- Hazardous Products Act (RSC 1985).
- Consumer Packaging and Labelling Act (RSC 1985).
- Food and Drugs Act (RSC 1985).
- Natural Health Products Regulations (SOR/2003-196).
- Cosmetic Regulations (CRC, c. 869).
- Medical Devices Regulations (SOR/98-282).

Some provincial legislation governs product liability through sale of goods and consumer protection legislation, and implies statutory warranties if the quality, fitness or performance of a product does not comply with express or implied contractual terms.

The common law of negligence also applies to product liability in Canada. In addition, product manufacturers have a post-sale common law duty to warn consumers and users of their products, of defects and dangers that become known to the manufacturer after its products were manufactured and sold into the marketplace.

Post-sale duties for suppliers of certain types of products also exist under common law.

The exception to common law negligence principles is Québec, where it is governed by civil law.

Regulatory Authorities

39. What are some of the key regulatory authorities relevant to doing business in your jurisdiction?

There are numerous regulatory authorities at the federal and provincial level relevant to doing business in Canada. Some of the major federal regulatory authorities are listed below.

Competition

Main activities. The Competition Bureau, headed by the Commissioner of Competition, is the competition regulator in Canada. The Bureau is an independent law enforcement body that ensures that markets operate in a competitive and innovative manner. The Bureau is responsible for the administration and enforcement of the Competition Act, the Consumer Packaging and Labelling Act, the Textile Labelling Act and the Precious Metals Marking Act.

W www.competitionbureau.gc.ca/eic/site/cb-bc.nsf/eng/home

Environment

Main activities. The primary federal regulatory authority is the Environment and Climate Change Canada (previously known as Environment Canada). It is responsible for coordinating environmental policies and programmes and preserving and enhancing the natural environment and renewable resources.

Other key federal regulators include Fisheries and Oceans Canada, Transport Canada, Parks Canada and Natural Resources Canada. Regulatory authorities also exist at the provincial and territorial level.

W www.canada.ca/en/environment-climate-change.html.

Financial services

Federal authorities are the:

Department of Finance. The Department is responsible for federally regulated financial institutions, including banks, trust and loan companies, insurance companies and credit unions; it assists the minister of finance in developing the government's fiscal framework, advises the government on economic and financial issues, and proposes changes to legislation and adopting new regulation governing federally regulated financial institutions.

W www.canada.ca/en/department-finance.html

Office of the Superintendent of Financial Institutions (OSFI). The OSFI interprets and applies legislation and regulations, issues guidelines, approves requests from federally regulated financial institutions as required under financial legislation, and assesses the safety and soundness of federally regulated financial institutions and pension plans.

W www.osfi-bsif.gc.ca/Eng/Pages/default.aspx

Financial Consumer Agency of Canada (FCAC). The FCAC enforces consumer protection legislation, regulations and industry commitments by federally regulated financial institutions, it also promotes financial literacy among consumers.

W www.canada.ca/en/financial-consumer-agency.html

Bank of Canada. The Bank of Canada is responsible for formulating Canada's monetary policy, promoting a safe, sound and efficient financial systems, and managing the Government of Canada's public debt programs and foreign exchange reserves.

W www.bankofcanada.ca

Financial Transactions and Reports Analysis Centre of Canada (FINTRAC). FINTRAC is responsible for facilitating the detection, prevention and deterrence of money laundering, terrorist activity financing and other threats to the security of Canada.

W www.fintrac-canafe.gc.ca

Every province and territory has at least one regulatory body regulating financial institutions under provincial or territorial responsibility. Such institutions include securities dealers, credit unions and other financial institutions that are registered or incorporated at the provincial or territorial level.

Other Considerations

40. Is there anything else that is important relating to doing business in your jurisdiction?

Not applicable.

Contributor profiles

Denise Nawata

Farris LLP

T +1 604 661 1746

F +1 604 661 9349

E dnawata@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2006; Alberta, Canada, 2005

Areas of practice. Securities and corporate finance; M&A; mining and energy.

Recent transactions

- Extensive experience in a broad range of transactions, including debt and equity financings, mergers involving both public and private companies, plans of arrangements, and other corporate reorganisations.
- Advising many Canadian international mining and resource sector clients.

- Recognised in Lexpert Leading Lawyers in Canada and the Best Lawyers in Canada Directory.

James R Matthews

Farris LLP

T +1 604 661 9365

F +1 604 661 9349

E jmatthews@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2009

Areas of practice. Corporate Commercial; Real Estate; M&A; securities and corporate finance.

Recent transactions

- Working with both private and public clients in asset and share transactions, lending transactions (for both lender and borrower clients), mergers, joint ventures and strategic partnerships, corporate restructurings, and similar matters.
- Drafting and reviewing purchase agreements, restructuring agreements, financing and mortgage documents, shareholders' agreements, leases, easements and rights of way.

Michael Korbin

Farris LLP

T +1 604 661 9330

F +1 604 661 9349

E mkorbin@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 1995

Areas of practice. Labour and employment.

Recent transactions

- Represents employers in all aspects of labour and employment law disputes, including arbitrations, labour board hearings, human rights matters, workers compensation matters, employment standards matters and wrongful dismissal actions.
- Acts as counsel for employers in several industries and sectors, including post-secondary institutions; newspapers; supermarkets; transportation companies; printing companies; beverage companies;

telecommunications companies; biotech companies; occupational health and safety employers; real estate agencies; and retail and service sector employers.

- Recognised in the Best Lawyers in Canada Directory.

Alexander D Mitchell

Farris LLP

T +1 604 661 9397

F +1 604 661 9349

E amithell@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2006

Areas of practice. Labour and employment.

Ryan Neely

McCrea Immigration Law

T +1 604 662 8200 ext.18~

E ryan@mccrealaw.ca

W <https://www.mccrealaw.ca/>

Professional qualifications. British Columbia, Canada, 2004

Areas of practice. Immigration, specialising in business immigration.

Recent transactions

- Advising many of Canada's largest employers with respect to their use of temporary foreign workers to fill short-term labour shortages.
- Advising a number of foreign companies commencing operations in Canada with respect to bringing in management and start-up teams.
- Assisting high net-worth individuals to obtain permanent residence in Canada through a variety of immigrant investor opportunities.
- Supporting executives of numerous Chinese State Owned Enterprises in obtaining proper travel visas and work permits to undertake Canadian operations.
- Acting as immigration counsel for employers across various industries, including biotech, mining, transportation, tourism and recreation, post-secondary education, food service distribution, telecommunications, real estate development, and environmental technology companies.

- Executive member at large and Legislative Liaison for the Canadian Bar Association – Immigration Section from 2014 to 2018.

Peter Macpherson

Farris LLP

T +1 250 869 3881

F +1 250 861 8772

E pmacpherson@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2002

Areas of practice. Corporate and commercial; intellectual property; M&A; private enterprise advisory services; real estate; securities and corporate finance.

Ronald A Chin

Farris LLP

T +1 604 661 9333

F +1 604 661 9349

E rchin@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 1994

Areas of practice. Corporate and commercial; intellectual property; environmental law.

Rebecca K Cynader

Farris LLP

T +1 604 661 9301

F +1 604 661 9349

E rcynader@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2014

Areas of practice. Tax law.

Recent transactions. Extensive experience on income tax planning and structuring for both private and public corporations and their stakeholders.

Sean Galloway

Farris LLP

T +1 604 661 9334

F +1 604 661 9349

E sgalloway@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2016

Areas of practice. Corporate and commercial; securities and corporate finance

Recent transactions. Experience in a variety of transactions including asset purchase agreements, share purchase agreements, equity financings, corporate reorganisations and various other corporate proceedings.

Yue Fei

Farris LLP

T +1 604 661 9313

F +1 604 661 9349

E yfei@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2016; Trademark Agent

Areas of practice. Intellectual property.

Kurtis Harms

Farris LLP

T +1 604 661 2183

F +1 604 661 9349

E kharms@farris.com

W www.farris.com

Professional qualifications. British Columbia, Canada, 2020

Areas of practice. Corporate and commercial.

END OF DOCUMENT

Related Content

Topics

[Business Corporations](#)

Practice note: overview

[Cross-border issues in employment disputes: overview](#) • [Maintained](#)

[Consultancy and Independent Contractor Agreements: Overview \(International\)](#) • [Maintained](#)

[Employees \(Private Company Acquisitions\): Overview \(International\)](#) • [Law stated as at 01-Mar-2024](#)

[English employment law: overview](#) • [Maintained](#)

Articles

[Work permit/residency permit requirements for foreign employees](#) • [Law stated as at 01-Jan-2019](#)

Country Q&A

[Doing Business in](#) • [Law stated as at 01-Jan-2022](#)

[Corporate Governance and Directors' Duties in Canada: Overview](#) • [Law stated as at 01-Apr-2024](#)

[Data protection in Canada: overview](#) • [Law stated as of 29-Oct-2024](#)

[Employment and Employee Benefits in Canada: Overview](#) • [Law stated as at 01-Feb-2024](#)

[Intellectual Property Transactions in Canada: Overview](#) • [Law stated as at 01-Oct-2022](#)

[Intellectual Property Rights in Canada: Overview](#) • [Law stated as at 01-Oct-2022](#)

Toolkit

[Control and Minority Protection \(Joint Ventures\): Toolkit](#) • [Law stated as at 01-Jun-2023](#)